BRAE RETAIL FUELS — EXCERPT FROM THE ANNUAL FINANCIAL DISCLOSURE

This excerpt is taken from the annual financial disclosure of Brae Retail Fuels and was prepared at the request of the Office of the Attorney General of the State of Arden. The figures presented cover the most recent completed financial year and are stated in millions of United States dollars.

1. Company profile and organisation

Brae Retail Fuels is organised as a privately held company under the laws of Delaware. Its workforce of approximately 2,227 persons is spread across 19 states, and it reports through the segments identified below. The Registry Company acts as the company's registered agent in Arden.

2. Segment revenue information

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Retail motor fuel	828	88.1	yes
Commercial card fuel	62	6.6	yes
In-store merchandise	39	4.1	no
Car wash and services	11	1.2	no
Total revenue	**940**	**100.0**	

As that term is defined in the Climate Resilience Funding Act, revenue from sales of Fossil Fuel Products comprises the segments marked above and came to $890M for the year; revenue from all segments came to $940M. In the preceding year the corresponding proportion was 92.5%.

3. Capital investment and depreciation

Capital expenditure amounted to $41.3M, with 44.0% of that total directed to the maintenance of existing assets. Charges for depreciation, depletion and amortisation were $31.4M. An impairment of $16.8M was recorded in respect of two idled terminals.

4. Hedging of commodity price risk

Approximately 51.9% of anticipated production or purchase volumes for the coming year were hedged. At year end the notional value of open derivative positions stood at $188.1M. Had benchmark prices moved adversely by a hypothetical ten per cent, pre-tax earnings would have been reduced by $15.9M.

5. Workforce, safety and environmental matters

Recordable injuries occurred at a rate of 1.44 per two hundred thousand hours worked. Across all jurisdictions the company reported 7 notices of violation and paid civil penalties of $0.5M. Voluntary turnover stood at 11.6%.

6. Pending legal matters

The company is a party to 21 proceedings arising in the ordinary course of business. None of them, individually or in the aggregate, is considered by management to be likely to have a material adverse effect. Accruals in respect of loss contingencies amounted to $0.7M.

7. Geographic spread of revenue

Revenue is attributed to the jurisdiction in which title passes. The company's three largest states of operation generated 42.1% of revenue. Arden accounted for 27.9% of revenue. No single customer represented more than 10.1% of revenue. Operating permits are held in 13 states, together with one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	221.5	26.6	730
Mid-Atlantic and north east	214.5	16.3	314
Midwest	99.7	15.8	346
West and mountain	118.4	8.3	248
All other, including Arden	68.6	7.8	71

The regional figures are management's allocation and are rounded. They do not constitute a segment disclosure and do not sum to total revenue.

8. Commitments under contract and off-balance-sheet items

Take-or-pay and transportation contracts gave rise to purchase obligations of $88.1M, of which $42.2M falls due within one year. Commitments under operating leases were $11.7M. Surety bonds and letters of credit of $4.9M have been issued, principally in respect of decommissioning and of state fuel tax obligations. Other than those described, there are no off-balance-sheet financing arrangements.

9. Income tax matters

The effective rate of 28.4% compares with a statutory federal rate of 21%. The principal reconciling items were state taxes net of federal benefit (4.6 points), depletion allowances (4.1 points adverse to the reconciliation) and the resolution of an examination covering the years 2019 to 2020. Unrecognised tax benefits stood at $1.6M. Examinations are under way in 7 states; Arden is not among them.

10. Transactions with related parties

Sales of $2.1M were made to entities in which a director or officer holds an interest of ten per cent or more, on terms management believes to be no less favourable than those available from unrelated parties. No director or officer has an interest in any supplier of the company.

11. Accounting estimates considered critical

Management regards as critical the estimates involved in the recognition of revenue on contracts with variable consideration, the assessment of asset retirement obligations (a discount rate of 5.1%, with settlement expected over 26 years), the recoverability of long-lived assets and the valuation of open derivative positions where quoted prices are not available. Were the discount rate applied to retirement obligations to move by ten per cent, the recorded liability would change by $2.9M.

12. Selected financial data for the past five years

	Year 1	Year 2	Year 3	Year 4	Year 5 (current)
Total revenue ($M)	729.1	668.4	708.4	742.8	940
Revenue from Fossil Fuel Products ($M)	705.2	667.5	658.6	687.4	890
Capital expenditure ($M)	44.5	43.1	43.9	37.2	41.3
Employees (000)	2.1	2.1	2.0	2.1	2.1

Figures for prior years are presented as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Events after the reporting date

The company settled an environmental proceeding on 17 August, without admission, for consideration of $4.8M. Events through the date of this disclosure have been evaluated by management, which is not aware of any other matter requiring adjustment or disclosure.

14. Distributions to holders

Holders received distributions of $31.6M, equivalent to 34.7% of distributable cash flow. No fixed distribution policy has been adopted by the board.

Prepared solely for the purposes of the constitutional review. Not filed with any securities regulator and not audited as presented.